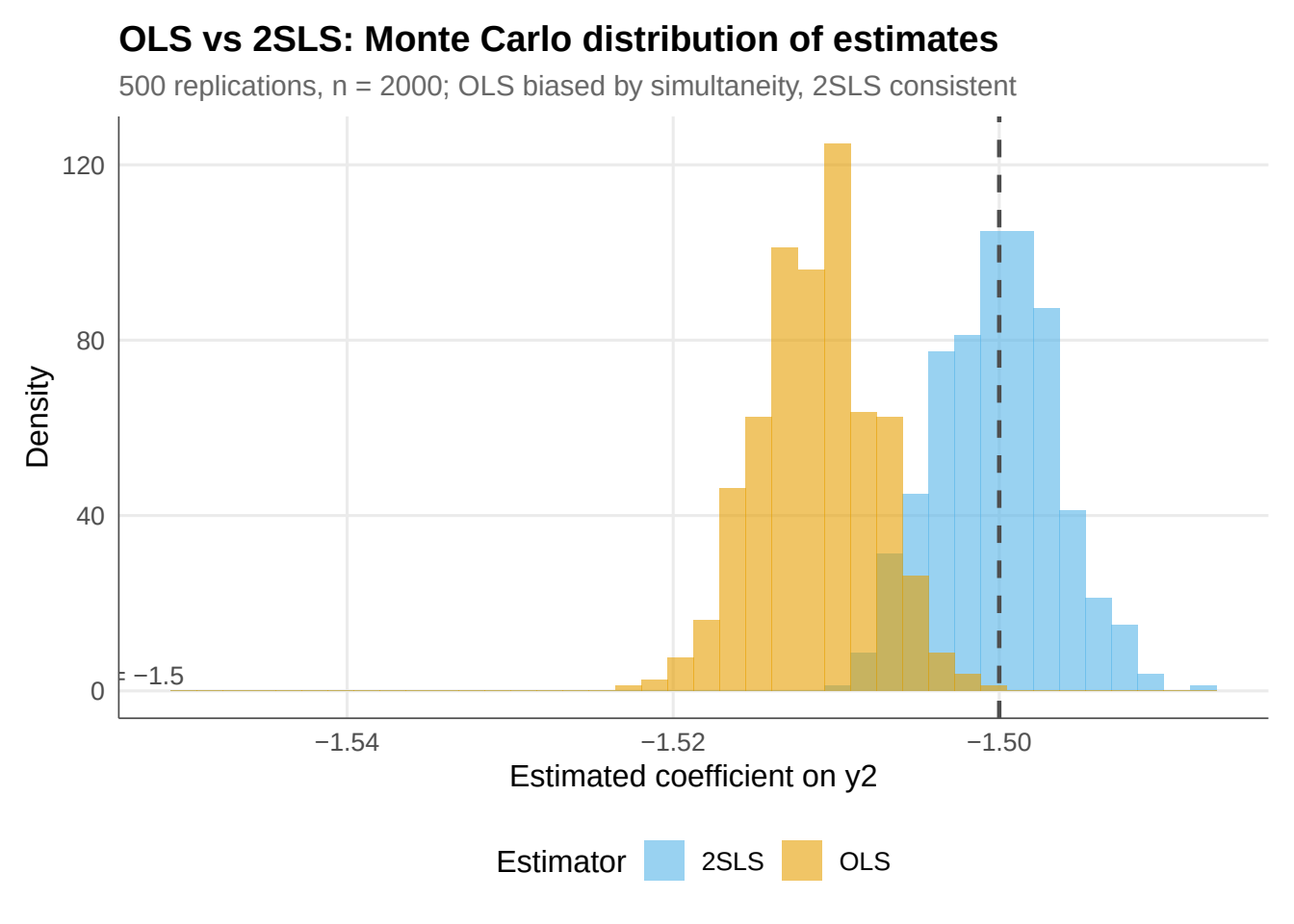
OLS vs 2SLS: Monte Carlo distribution of estimates
500 replications, n = 2000; OLS biased by simultaneity, 2SLS consistent
Density
120
80
40
0
−1.5
−1.54
−1.52
−1.50
Estimated coefficient on y2
Estimator
2SLS
OLS